REVIEW

The Early Austrian School of Economics: Money, Value, Capital

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In publishing *The Early Austrian School of Economics: Money, Value, Capital,* Christopher Adair-Toteff directly confronts what can be described as a contemporary neglect of three of the founding members of the Austrian School of Economics. Carl Menger, Friedrich von Wieser, and Eugen Böhm-Bawerk may be less familiar to the modern scholar of the Austrian School than Ludwig von Mises or F.A. Hayek; nevertheless, as Adair-Toteff makes clear, "it is not certain that the later Austrian School would have come into being, if it were not for Menger, Böhm-Bawerk, and von Wieser" (2). Adair-Toteff's purpose, therefore, is to bring their names—and their accomplishments—to the forefront: "The purpose of this book is to offer a clear and unbiased appraisal of the theories of these three thinkers, first by providing a general overview of each of their writings and then by focusing on each of their most notable contributions" (9). For Menger, that notable contribution is his theory of money; for von Wieser, his theory of value; and for Böhm-Bawerk, his theory of capital.

Let me state at the outset that Adair-Toteff splendidly meets his ambitious goal, and he does so within the pages of a book that one could comfortably fit into their back pocket. It is a slim volume, 106 pages of concise but incredibly dense material. Even more, it is *precise*. Adair-Toteff wastes no space, and examines his subjects with razor-sharp focus. He breaks his work into four chapters: an introduction, a chapter on each of the three economists, and a short conclusion. A brief examination of these sections will highlight what I believe makes this work so compelling.

Chapter 1, the Introduction, is broken into two parts. In the first section, Adair-Toteff provides biographical information on the lives of the three economists, while in the second, he describes the goals and limitations of his book along with an outline of how he has organized the rest of the volume. This initial section is quite informative, giving the reader background information on each of the economists. In doing so, it becomes clear how inseparable their lives were. Their paths did not merely cross, but were intertwined: one stark example is that Böhm-Bawerk and von Wieser were not only disciples of Menger, but were also close friends and brothers-in-law. And yet, Adair-Toteff points out that this did not mean the men were always in agreement. In fact, in laying out the plan and purpose of his book, he promises to present both the agreements and disagreements between the economists. This brief introductory section, therefore, gives the reader great insight into the foundation and development of the Austrian School.

The introduction is followed by the three main chapters, each one dedicated to one of the economists. In turn, each of these sections is also separated into two parts: one that deals with each man and his general economic works and theories, and a second that concentrates on their specific analysis concerning money (Menger), value (von Wieser), and capital (Böhm-Bawerk). These chapters provide a breakdown of

each economist's important works, highlight what is most essential, and even offer an analysis of some of the reviews of the works themselves. Adair-Toteff's efficient format ensures that the compact yet thorough nature of his writing can be appreciated by both economists and non-economists alike.

Beginning with Carl Menger in Chapter 2, Adair-Toteff initiates his discussion with the following claim:

> Carl Menger's economic philosophy has often been rewritten by his opponents… This chapter on Menger is intended to challenge those portraits. It is designed to present an accurate account of Menger's economic philosophy in general and one devoted to his theory of money in particular. (14)

Adair-Toteff notes that in "Die Social-Theorien der classischen National-Oekonomie und der moderne Wirtschaftspolitik," (1891), Menger pens what is a strong defense of Adam Smith. He refers to the tale of Babeuf and how, before he had been beheaded, he was not afraid of death, but rather that "the account of his work would be written by his opponents" (13). Menger's article, therefore, defends Smith's misrepresentation in Germany and seeks to clarify Smith's positions. Continuing that trend here, Adair-Toteff defends Menger from his opponents, setting the record straight for contemporary audiences.

While Menger is best known for his writing on subjective value, his major focus was money, and that is what Adair-Toteff dedicates the second half of the chapter to discussing. He tells us that for Menger, the origins of money were society-based and did not arise from the state. He also notes that while Menger's predecessors were concerned with the essence of money, he was concerned with its function—emphasizing that there is greater use in understanding what something does than in debating what it essentially is. By taking the reader through Menger's theory of money, one also receives a primer on the creation of money itself, and this is particularly useful for the reader who is new to economic theory.

Chapter 3 confronts Friedrich von Wieser, once again splitting the discussion into two parts: his general conception of economics based on his writing and his particular concept of value. Adair-Toteff outlines various distinctions between von Wieser and both Menger and Böhm-Bawerk concerning the concepts of free goods vs. economic goods, various definitions of marginal utility, differences in subjective vs. objective value, and theories of money. This provides a very useful overview of the landscape of early Austrian theory.

When the author turns to von Wieser's concept of value, the discussion becomes especially enlightening. Von Wieser establishes "that value is determined by human interest and that goods have no value if people have no interest in them" (58). Value is therefore tied to the desire people have to acquire certain goods, and each individual decides whether or not—and to what extent—a product will satisfy their need. Furthermore, these economic desires have an important time-related element, and this is a point that cannot be stressed enough.

Chapter 4 is dedicated to Eugen Böhm-Bawerk, who receives the same treatment as Menger and von Wieser, with half of his chapter dedicated to his writing and the other half focusing on his views concerning capital. What stands out—aside from the precision and detail with which Adair-Toteff treats Böhm-Bawerk—is the comparisons between the Austrians and the Germans, and the zeal with which Böhm-Bawerk handled his critics. Adair-Toteff notes that while Menger and von Wieser were reluctant to find fault with their critics, "Böhm-Bawerk hints that his opponents were mostly charlatans or even idiots" (79). The author sums up his section on Böhm-Bawerk thusly:

> Böhm-Bawerk may not have had Menger's originality, nor von Wieser's ability to explain, but he did have tenacity and the willingness to attack his critics. [...] Yet, even his most ardent critics admired his dedication to his discipline and his willingness to defend his theories at almost any cost. (93-94)

The personal insight provided by Adair-Toteff into Böhm-Bawerk's character is refreshing and offers a nice contrast with his contemporaries. I, for one, found the notion of Böhm-Bawerk pushing back against his critics to be inspiring.

In the Conclusion, Adair-Toteff starts by clearly restating his thesis and his purpose. He then goes beyond mere summarization, warning the reader that while he did his best to remain objective throughout the main body of the volume, here, in the conclusion, he will unleash his passion and staunchly defend the three economists. In doing so, he gives the contemporary reader undeniable evidence of why one should read the works of the members of the Early Austrian School of Economics. Indeed, I find his passion to be a welcome complement to his earlier methodical approach, and his argument entirely convincing.

As I stated earlier, this compact yet richly detailed volume is one that I am thrilled to have come across. That, of course, is not to say it is perfect. One issue I had was concerning the titles of works. Adair-Toteff provides these in their original German, without always providing English translations. It would clearly be beneficial for me to learn Austrian and German so that I could be more proficient in my work regarding the Austrian School; however, as time is always a challenge, it would be simpler if the titles were offered in both the original and English translations. Adair-Toteff redeems this somewhat by being more attentive when introducing key terms used by the economists. Phrases such as "natural value," "use value," etc., are presented in both English *and* the original. This, along with his detailed use of chapter titles and page numbers, is a nice touch.

I believe this volume will not only be of use to those of us working on the Early Austrian School but to contemporary readers as well, since the contextualization can only serve to further enhance our understanding of later Austrian School theories by such luminaries as von Mises, Hayek, Rothbard, and others. To know where we are going, it helps to know where we've been.